Public competition assessment

7 May 2025

Sigma Healthcare Limited – proposed acquisition of CW Group Holdings Limited

The ACCC's decision

1. On 7 November 2024, the Australian Competition and Consumer Commission (**ACCC**) announced its decision not to oppose the proposed acquisition by Sigma Healthcare Limited (**Sigma**) of CW Group Holdings Limited (**Chemist Warehouse**) (the **proposed acquisition**) after accepting a section 87B undertaking from Sigma (the **Undertaking**).
2. Sigma has committed to three key obligations in the Undertaking:
    a. **Sigma franchisee and customer switching**: Sigma will not prevent or hinder its pharmacy franchisees and wholesale or buying group customers who entered into an agreement with Sigma prior to 1 July 2024 from terminating their agreements with Sigma. These franchisees and customers will have up to three years to terminate their agreements, and Sigma will waive all rights to recover contributions it has already made under its agreements as well as future fees payable to Sigma.
    b. **Deleting confidential data for exiting franchisees and customers**: For three years from the completion of the acquisition, Sigma will safeguard the confidential information of all exiting Sigma retail pharmacy customers and once a customer commences the process to terminate its agreement, Sigma will ensure that only approved personnel can access the confidential information before it is deleted.
    c. **CSO wholesaling**: Sigma will remain a participating pharmaceutical wholesaler under the Commonwealth Government's Community Service Obligation (CSO) arrangements for five years (commencing from the date of completion).
3. The ACCC considered that the proposed acquisition, taking into account the Undertaking, would be unlikely to contravene section 50 of the Competition and Consumer Act.
4. This Public Competition Assessment outlines reasons for the decision by the ACCC not to oppose the proposed acquisition, taking into account the Undertaking.
5. ACCC public competition assessments are subject to the following qualifications:

a. The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.

b. As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties and the proposed transaction

Sigma

6. Sigma is an ASX-listed wholesaler and distributor of prescription medicines (including Pharmaceutical Benefits Scheme (**PBS**) prescriptions), over the counter (**OTC**) and front of store (**FOS**) products to over 4,000 community pharmacies nationally.

7. Sigma's core business activities include:

    a. wholesale and distribution of prescription medicines, OTC products and FOS products to both its franchisees and independent pharmacies

    b. providing brand and support services to approximately 400 community pharmacies operating as franchisees under Sigma banners of Amcal, Discount Drug Store and PharmaSave

    c. operating a buying group[1] – the PriceSave program – for approximately 445 independent pharmacies, and

    d. supplying private label products under the brands 'Pharmacy Care', Beauty Theory' and 'Amcal Plus'.

8. Sigma also owns and operates MPS Connect Pty Ltd which offers medication packing services and management solutions to pharmacies and aged care providers. At the time of the decision, Sigma held 51 per cent of the shares in NostraData Pty Ltd which supplies technology and data analytics solutions to pharmacies, wholesalers and manufacturers.[2]

Chemist Warehouse

9. Chemist Warehouse is an unlisted Australian public company. It is a franchisor to approximately 600 pharmacies and retail stores under the following banners: Chemist Warehouse, MyChemist, Ultra Beauty, My Beauty Spot, and Optometrist Warehouse. Approximately 550 of these are Chemist Warehouse and MyChemist pharmacies.

10. Chemist Warehouse provides brand and support services to its franchisee pharmacies, including but not limited to:

    a. media, advertising, marketing, licensing and financial support services

    b. supply of FOS and OTC products including Chemist Warehouse owned, private label and exclusive consumer brands, and

    c. support services such as negotiating supply terms on behalf of franchisees with suppliers and manufacturers to distribute FOS and OTC products.

[1] Buying groups are groups formed for the purposes of negotiating the cost of medicines and products with wholesalers or manufacturers. Wholesalers may also provide group buying offers to pharmacies.

[2] Sigma's current shareholding is 45.9 per cent.

11. Chemist Warehouse also owns private label product brands which it sells online and supplies to its franchisees. These include Wagner, Bambi Mini, Barely, Bondi Protein Co, Inc, and Goat.
12. Chemist Warehouse operates six distribution centres to support the distribution of FOS and OTC products to its franchisees. Chemist Warehouse obtains wholesale supply of prescription, OTC and FOS products from Sigma.

The proposed transaction

13. On 11 December 2023, Sigma and Chemist Warehouse entered into a merger implementation agreement under which Sigma would acquire all the shares in Chemist Warehouse in exchange for Sigma shares and a $700 million cash consideration.
14. Upon completion of the proposed acquisition (February 2025), Chemist Warehouse shareholders will hold 85.75% of the ASX listed merged entity while Sigma shareholders will hold 14.25%. The transaction is in effect a reverse acquisition of Sigma by Chemist Warehouse.

Market Inquiries

15. The ACCC conducted market inquiries with a range of industry participants including independent and franchise community pharmacies, pharmacy wholesalers, manufacturers and suppliers of products sold via the pharmacy channel, pharmacy representative bodies, regulatory bodies, and other interested parties including the general public.
16. The ACCC consulted on both the competition issues associated with the proposed acquisition, and the Undertaking.
17. The ACCC also obtained confidential information, data and documents from the merger parties and interested parties.

Industry background

18. On 13 June 2024, the ACCC published a Statement of Issues (**SOI**)[3] which included information (paragraphs 26 – 46) about the pharmacy industry in Australia, including:
    a. information regarding community pharmacies
    b. an overview of banner and buying groups
    c. information regarding wholesalers
    d. an overview of suppliers and manufacturers
    e. an overview of the pharmacy supply chain
    f. the Therapeutic Goods Act and Pharmaceutical Benefits Scheme regulations
    g. Community Service Obligations (CSO) Funding Pool
    h. pharmacy location rules, and
    i. pharmacy ownership regulation.
19. This background information is not repeated in this Public Competition Assessment.

[3] See ACCC Sigma Healthcare – Chemist Warehouse Group – Statement of Issues.

Vertical competition concern: impact on retail pharmacies via potential discriminatory supply terms by the merged entity

20. The ACCC considered whether the proposed acquisition, which combines Sigma's wholesale business with Chemist Warehouse's downstream franchising business, would be likely to substantially lessen competition in pharmacy retailing. This could occur if the merged entity discriminates against pharmacies supplied by Sigma in favour of Chemist Warehouse pharmacies and if these pharmacies are foreclosed from accessing alternative wholesale supply of pharmacy products, including FOS, OTC and/or PBS products.
21. Specifically, the ACCC considered whether the merged entity, in its role as wholesaler to non-Chemist Warehouse pharmacies could:
    a. degrade price and supply terms to non-Chemist Warehouse pharmacies, and/or
    b. give preferential supply and pricing terms to pharmacies operating under the merged entity's banner groups.
22. If the merged entity had the ability and incentive to engage in such conduct and these pharmacies were partly or fully foreclosed, the competitive constraints on Chemist Warehouse pharmacies could be lessened. As a result, Chemist Warehouse pharmacies (and potentially also Sigma banner pharmacies) could profitably raise prices and/or decrease the quality of goods and services to the detriment of consumers.
23. While Chemist Warehouse (and Sigma) banner pharmacies will not be directly owned by the merged entity, the merged entity may have the incentive to engage in discriminatory conduct and favour certain stores if it increased overall profits for the merged firm.

Ability to foreclose non-Chemist Warehouse pharmacies

24. The ACCC considered whether the merged entity would have the ability to foreclose retail pharmacies' access to wholesale supply of pharmaceutical products. A key focus was the potential foreclosure of non-Chemist Warehouse pharmacies supplied by Sigma.
25. The ACCC considers that in the present circumstances pharmacy wholesalers EBOS, API and (to a lesser extent) CH2 present retail pharmacy owners with meaningful alternatives to the merged entity. The Undertaking enables those pharmacies which are currently supplied by Sigma to easily switch away from Sigma to one of the rival wholesalers. This ability to switch supplier means the merged entity faces effective competition in supplying these pharmacies (as well as other pharmacies) and is unable to foreclose those pharmacies' access to wholesale supply.

<u>Alternative wholesalers and franchisors</u>

26. Feedback from market participants indicated that national wholesalers API and EBOS are sufficient and equivalent alternatives to Sigma as wholesalers. Market feedback also indicated that CH2 has a growing presence in national wholesale pharmacy supply.
27. In addition, each alternative wholesaler has spare capacity to take on and supply new retail pharmacy customers.

28. As such, the ACCC considers that there are competitively effective rival wholesalers for Sigma-supplied pharmacies to switch to if the merged entity sought to degrade their price and supply terms or otherwise discriminate against them.

Switching costs

29. In considering the risk of foreclosure, the ACCC also considered how easy it would be for Sigma-supplied pharmacies to switch wholesalers.
30. The ACCC found that retail pharmacies frequently switch wholesalers and many Sigma wholesale customers face minimal barriers to switching.
31. However, a pharmacy's ability to switch from Sigma to another wholesaler varies depending on its contractual obligations to Sigma. Some pharmacies are in long term agreements with Sigma and/or may have received financial assistance which they would be required to repay if they ceased using Sigma as their wholesaler.
32. The costs of exiting a franchise agreement are also typically much higher than switching wholesalers as leaving a franchise agreement involves repayment of financial contributions from the franchisor, and changing signage, branding, administrative systems such as Point of Sale (PoS), uniforms, and other aspects of the pharmacy. Franchise and wholesale agreements also can be interlinked, making it difficult for a pharmacy owner to exit the wholesale agreement without also exiting the franchise agreement. As such, Sigma banner pharmacies face significant costs and difficulty exiting their wholesale agreements with Sigma. This may leave them more vulnerable to the risk of being discriminated against by the merged entity.
33. To address these concerns, Sigma offered the Undertaking which includes the commitment not to prevent or hinder current franchisees, wholesale or buying group customers from exiting their agreements with Sigma. As part of this commitment, Sigma also waives its right to recover contributions it has already made under its agreements, such as sign-on incentives. Together, these obligations reduce the switching costs for Sigma franchisee and wholesale customers.

Regulatory restrictions

34. The wholesale supply of PBS products is price regulated and as a CSO wholesaler, Sigma is subject to limits on the extent to which it could refuse supply or raise the prices for wholesale PBS products to pharmacies that compete with its own banner and franchise pharmacies.
35. The ACCC considered the possibility that the merged entity may cease to function as a CSO wholesaler which would remove the application of the regulatory requirements on the merged firm and enable it to either refuse supply of pharmacy products to certain pharmacies or offer them on discriminatory terms. Such conduct would reduce the number of competitively effective wholesale options for the supply of PBS products to pharmacies leading to potential foreclosure of retail pharmacies.
36. The Undertaking addresses this concern by including a commitment by Sigma to remain a CSO wholesaler for five years, and therefore be bound by the CSO requirements.

Incentive to foreclose non-Chemist Warehouse pharmacies

37. As set out above, the ACCC concluded that given the presence of competitively effective rival wholesalers, and taking into account the Undertaking, the ability of the merged Sigma Chemist Warehouse to engage in foreclosure of retail pharmacies is low, and therefore the proposed acquisition is unlikely to substantial lessening competition in pharmacy retailing.

38. The ACCC therefore has not addressed in detail the merged entity's incentives post-acquisition to engage in a discriminatory supply strategy.

Vertical competition concern: impact on pharmacy retailing due to potential misuse of Sigma acquired data by the merged firm

39. The ACCC also considered whether there would be a likely substantial lessening of competition in retail pharmacy should the merged entity use or threaten to use commercially sensitive data from Sigma pharmacy customers to limit the ability of those pharmacies to compete against Chemist Warehouse banner pharmacies.

40. Sigma, as a wholesaler and/or franchisor, has access to commercially sensitive data and information regarding the pharmacies to which it supplies products and services. The ACCC considered whether the merged entity could access and use that data to constrain or limit rival Sigma-supplied pharmacies' ability to compete against Chemist Warehouse pharmacies. For example, the ACCC considered whether:

    a. the merged entity could use pharmacy customers' data to pre-empt competitive strategies such as product promotions. Access to retail pharmacy information such as order volumes could enable the merged entity to identify a likely upcoming promotion and to use this information to advantage Chemist Warehouse banner pharmacies, e.g. by matching or pre-empting the promotion, thereby reducing the benefits of the promotion to the rival pharmacy. This would lead to Sigma-supplied pharmacies being less able to compete against Chemist Warehouse banner pharmacies.

    b. the merged entity could use insights from commercially sensitive pricing data to target rival pharmacies, e.g. by undercutting them on key product pricing or by pre-empting planned pricing changes. This could undermine their viability and force them to exit so that the licence could be acquired for a Chemist Warehouse store.

41. The ACCC's investigation confirmed the commercial sensitivity of the information about Sigma's wholesale customers and franchisees that the merged firm would hold post-acquisition and the scope for this information to be misused to advantage Chemist Warehouse (or other Sigma supplied) pharmacies.

42. However, the ACCC considers that if Sigma franchisees and customers can switch away from using Sigma as a wholesaler and/or franchisor, this would reduce the incentive for the merged entity to use current and future data to discriminate against these pharmacies.

43. The ACCC also considered the extent to which historical data that Sigma may retain regarding its customers after they exit agreements with Sigma may remain valuable and capable of misuse. The ACCC found that while much of this data would lose its commercial value as time progresses, other data, in particular financial data such as pharmacy valuation and loans, could still potentially be used by the merged entity to limit the competitiveness of exiting pharmacies.

44. To address these concerns, the Undertaking offered by Sigma provides that the merged entity will delete all commercially sensitive data of a Sigma franchisee or wholesale customer that exits its agreements with Sigma. This commitment by Sigma is subject to very limited exceptions to ensure that Sigma will not delete data it is required to maintain to meet its CSO requirements or for other legal reasons.

45. As it may take time for Sigma franchisees and wholesale customers to exit agreements with Sigma, the Undertaking also includes a provision that Sigma will

limit the access and use of the exiting pharmacies' data from the date when a pharmacy notifies Sigma of their intention to terminate.

46. In addition, as set out in paragraphs 29 to 33, the Undertaking also reduces the switching costs of Sigma franchisees and wholesale customers.

47. The ACCC concluded that, with the Undertaking, the merged entity is unlikely to be able to use Sigma acquired data to substantially lessen retail pharmacy competition**.**

Horizontal competition concern: impact on pharmacy retailing due to overlap in pharmacy retailers

48. The ACCC considered whether the proposed acquisition was likely to substantially lessen competition in pharmacy retailing at a national, regional or local level by lessening the competitive constraint Chemist Warehouse and Sigma pharmacies impose on each other, which may allow them to:

    a. increase prices and/or

    b. reduce service quality including removing or altering the differentiated product and service offering at Sigma pharmacies.

49. The ACCC looked at this potential competitive effect at the state/national level and in local areas. The ACCC found the proposed acquisition is unlikely to substantially lessen competition in pharmacy retailing for the reasons set out below.

Relevant markets

Product dimension

50. All retail pharmacies offer a combination of PBS and non-PBS prescriptions, OTC and FOS products to consumers.

51. The ACCC considered whether the retailing of a combination of prescription, OTC and FOS products in a pharmacy setting constitutes a single market, or whether the supply of prescription, OTC and FOS products should be viewed as separate markets.

52. Different regulations apply to the supply of prescription and OTC products while FOS products are not subject to any pharmacy regulations. The prices of prescription medicines listed on the PBS are regulated.[4] In addition, only pharmacies can dispense prescription medicines and most OTC medicines can only be dispensed in pharmacies or by pharmacists (at least for certain dosages or pack sizes).[5] These regulations do not apply to the supply of unscheduled FOS products and medicines to consumers, which may also be sold in supermarkets and other retail outlets.

53. While the ACCC recognised that the nature of competition for the retail sale of PBS, OTC and FOS products differs, the ACCC did not need to reach a concluded view on the precise product dimension of the relevant market/s in order to reach a view on the proposed acquisition.

Geographic dimension

54. Similar to many essential and grocery products, consumers typically purchase pharmacy products in a local area. The supply of retail pharmacy products therefore has local dimensions.

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[4] See National Health Act 1953 Pt VII Div 2.

[5] National Health Act 1953 s 90.

55. However, Chemist Warehouse's and Sigma's pharmacy franchise systems operate nationally. In addition, while there are differences between regions and states in terms of the operation of smaller pharmacy banner groups (i.e. some smaller groups only operate in certain regions or states) and independent pharmacies, the major pharmacy chains (including those owned by API and EBOS) operate nationally.

56. Further, the prices, product range, service offering and other competitive choices at Chemist Warehouse pharmacies appear to be made at a national level. Sigma and other large pharmacy franchisors also appear to set price and service level guidance and arrangements at a national level (or sometimes a regional level) and have some influence or control in assuring that this guidance is implemented.

57. As such, the ACCC considered state-based and national competitive dynamics in its assessment of the proposed acquisition.

58. In addition to this state/national consideration, the ACCC considered competition between Sigma and Chemist Warehouse pharmacies in local markets in which both were present. Despite the apparent state or national control of key elements of the price and non-price offering by the major operators, individual pharmacy owners have some ability to adjust their price and service quality in response to local market dynamics. Further, other elements that affect quality of service provided, such as the level of staffing, the store amenity, and the level of individual care are likely to be impacted by competition in the local area.

59. To assess the relevant local markets, the ACCC analysed the competitive constraints on Chemist Warehouse's and Sigma's pharmacies at an individual store level.

Influence over banner pharmacies

60. The ACCC found that Chemist Warehouse exerts significant influence over price and non-price decisions at its banner pharmacies. Sigma does not influence price and non-price decisions at its banner pharmacies (Amcal, Discount Drug Store and PharmaSave) to the same extent as Chemist Warehouse.

61. The ACCC concluded that while the merged entity may attempt to increase its influence over price and non-price decisions at Sigma banner pharmacies post-acquisition, the influence that Chemist Warehouse exerts over its banner pharmacies is unique in pharmacy retailing, and has arisen as a result of the history, corporate structure, and culture of Chemist Warehouse.

62. Sigma has a different corporate structure and culture to Chemist Warehouse and the ACCC considered it unlikely that the merged entity would replicate effectively the Chemist Warehouse model of influence over Sigma banner pharmacies, with Sigma banner group pharmacy owners continuing to make their own commercial decisions, post-acquisition.

63. As such, the ACCC considered that it was not appropriate to aggregate the Chemist Warehouse and Sigma pharmacies for the purposes of assessing the impact of this acquisition on retail pharmacy competition.

64. While the ACCC reached this view, the ACCC did consider the impact of the overlap on national, state and local markets for pharmacy retailing.

National, state-based and local market competition

65. Even if the merged entity could exert significant influence over both Chemist Warehouse and Sigma pharmacies, the proposed acquisition is unlikely to raise significant competition concerns in national, state-based or local markets for pharmacy retailing because:

- Chemist Warehouse and Sigma banner pharmacies are not each other's closest competitors
- there are many other pharmacy competitors that will constrain the merged entity
- non-pharmacy retailers (including supermarkets) compete for FOS and some categories of OTC products, and
- for most prescription products, pricing controls prevent pharmacies raising prices.

66. Each of these factors is discussed in greater detail below.

Closeness of competition

67. The ACCC found that Sigma banner pharmacies and Chemist Warehouse pharmacies are not each other's closest competitors.
68. The ACCC found that discount pharmacies such as Priceline, Direct Chemist Outlet, Cincotta Discount Pharmacy and Pharmacy4Less compete most closely with Chemist Warehouse pharmacies and are likely to continue to do so post-acquisition.
69. Sigma pharmacies' closest competitors are, and are likely to continue to be, other service-oriented pharmacies such as TerryWhite Chemmart, Soul Pattinson, and numerous independent pharmacies.

Pharmacy competitors likely to constrain the merged entity

70. There are numerous pharmacies that will compete with the merged entity post-acquisition. These include:
    - large, national pharmacy banner groups operated by API (e.g. Priceline, Soul Pattinson) and EBOS (e.g. TerryWhite Chemmart)
    - large banner groups that operate in one or more states (e.g. IPA Group's Advantage and Alliance pharmacies)
    - smaller banner groups that operate in some states (e.g. Cincotta Discount Pharmacy, Blooms the Chemist), and
    - independent pharmacies.

Non-pharmacy retailers compete for FOS and some OTC product categories

71. FOS products and some categories of OTC products are sold at multiple highly competitive non-pharmacy retailers, including supermarkets (e.g. Coles, Woolworths), beauty stores (e.g. Sephora, Mecca) and online retailers (e.g. Amazon).
72. The ACCC found that such non-pharmacy retailers impose a meaningful competitive constraint on Chemist Warehouse and Sigma pharmacies in relation to many FOS products and some OTC product categories.
73. The ACCC concluded that these non-pharmacy retailers are likely to continue to impose a strong competitive constraint on the merged entity's pharmacies, and that as such, the proposed acquisition is unlikely to materially impact competition for FOS and some categories of OTC products.

PBS prescription products are highly price regulated

74. As set out above, pharmacies sell a combination of prescription, OTC and FOS products.

75. PBS prescriptions account for most prescription product sales and are heavily price regulated by the PBS. This means pharmacies are unable to raise prices beyond set limits and reduces the ability for pharmacies to meaningfully compete on price in relation to these products. Consequently, the ACCC concluded that the proposed acquisition is unlikely to materially impact price competition for PBS prescription products.

Vertical competition concern: impact on supply of pharmaceutical products due to potential foreclosure of rival suppliers' access to customers

76. The ACCC considered whether the proposed acquisition was likely to substantially lessen competition by foreclosing pharmacy product suppliers[6] access to consumers. In particular, the ACCC considered whether the merged entity would be able to prevent suppliers of products that compete with the merged entity's private label products from accessing a significant proportion of consumer demand, potentially lessening competition in upstream pharmaceutical product manufacture and supply. Such a strategy would involve the merged entity ceasing to supply the rival suppliers' products to retail pharmacies Sigma wholesale supplies to, including Chemist Warehouse and Sigma banner pharmacies.
77. The ACCC considered whether the merged entity was likely to be a significant supply channel for suppliers of pharmacy products, such that suppliers not stocked by the merged entity would be rendered less competitively effective. A reduction in rival suppliers' ability to compete could lead to an increase in retail prices for the relevant products.
78. However, the ACCC concluded that, even if the merged entity did decide not to stock rival supplier(s) of particular pharmaceutical products, this would be unlikely to foreclose such suppliers' access to consumers. This is because:
    a. suppliers of FOS and most OTC products have a wide range of pathways to consumers, as these products can and are sold in numerous retailers including supermarkets, health food stores, and discount stores
    b. for prescription and OTC products that can only be sold to consumers by pharmacies, suppliers would continue to have access to a competitive wholesale market. Other wholesalers (e.g. EBOS and API) are viable alternatives to the merged entity and rival suppliers could use these wholesalers to distribute their products to pharmacies, and through them, consumers, and
    c. suppliers face minimal barriers to switching to these alternative wholesalers.
79. On this basis, the ACCC found that the proposed acquisition is unlikely to substantially lessen competition by enabling the foreclosure of pharmacy product suppliers' access to consumers.

Competition concern: impact of proposed acquisition on market structure, potentially raising barriers to entry and expansion

[6] Prescription, OTC and FOS products sold in Australia are either procured from manufacturers that produce them, or suppliers that source them from manufacturers (usually due to the product not being produced in Australia). Both are considered "suppliers" for the purposes of the ACCC's competition assessment.

80. Chemist Warehouse is a significant retail pharmacy business in Australia. It has significant control over its banner pharmacies and owns several pharmacy product brands (which are supplied in Chemist Warehouse stores). Sigma is one of three major pharmacy wholesalers, and supplies pharmacy products to many independent pharmacies and Sigma-banner pharmacies (which are also independently owned).

81. Given the significance of the transaction and in particular, the high level of vertical integration which would result, the ACCC considered whether the proposed acquisition was likely to cause a significant and longer-term structural change in the pharmacy sector. In particular, the ACCC considered whether the increased vertical integration would make entry and expansion at a single level of the supply chain less viable, reducing the level of competition at each level over time, including leading to fewer supply options for independent pharmacies.

82. The ACCC found that the increased vertical integration caused by the proposed acquisition is unlikely to result in widespread structural change in the supply chain. As discussed above, suppliers of pharmacy products continue to have wholesale and retail options for the sale of their products, and pharmacies continue to have alternative wholesalers from which they can purchase. As such, the ACCC considered that the proposed acquisition is unlikely to increase barriers to entry and expansion for those parties focussed on one level of the supply chain. The operation of state pharmacy ownership regulations, which generally restrict the number of pharmacy businesses a pharmacist or other eligible person or corporation is permitted to own or have a relevant interest in[7] assist in perpetuating the current market structure.

83. As such, the ACCC found that despite the increased vertical integration, the proposed acquisition is unlikely to result in widespread structural change in the market or increase barriers to entry and expansion at any level of the supply chain such that competition would be substantially lessened.

The Undertaking

84. In order to address the ACCC's competition concerns in relation to retail pharmacy markets Sigma offered the Undertaking pursuant to section 87B of the Act.

85. The ACCC spoke to a range of market participants for feedback on the Undertaking, including independent and franchise community pharmacies, pharmacy wholesalers, manufacturers and suppliers of products sold via the pharmacy channel, pharmacy representative bodies, regulatory bodies, and other interested parties, including the general public.

86. As outlined in the sections above and following these inquiries, the ACCC considers that the Undertaking will address its competition concerns with the proposed acquisition.

87. A copy of the Undertaking is available on the ACCC mergers register and undertakings register.

88. A brief summary of the Undertaking is set out at paragraph 2 above.

[7] Health Practitioner National Law 2010 (NSW) Sch 5F, s 5(1); Pharmacy Act 2010 (WA) s 54(1); Pharmacy Business Ownership Act 2001 (Qld), ss 139B; Health Practitioner Regulation National Law (South Australia) Act 2010 (SA), s 51(1a); Pharmacy Regulation Act 2010 (Vic) s 5(1); Pharmacy Control Act 2001 (Tas) ss 62(1)(a), 61C; Health Practitioners Act 2004 (NT) Sch 7 s 2.

Conclusion

89. Based on the analysis outlined above, the ACCC concluded that the proposed acquisition of Chemist Warehouse by Sigma, in the absence of the Undertaking, would be likely to have the effect of substantially lessening competition in retail pharmacy markets.

90. The ACCC was concerned that, absent this Undertaking, the merged entity may have the ability and incentive to worsen terms to non-Chemist Warehouse pharmacies that were in competition with Chemist Warehouse banner pharmacies, which may be likely to substantially lessen competition. The ACCC was also concerned that the Proposed Acquisition may have enabled the merged entity to access and use commercially sensitive data of Sigma franchisees and wholesale customers in a way that damages retail pharmacy competition. The ACCC's third concern was that post acquisition Sigma may choose to cease to be a CSO wholesaler and only supply pharmacy products to its franchisees, reducing the number of available CSO wholesale options for pharmacies.

91. The ACCC considered that the Undertaking addresses the competition concerns raised such that the proposed acquisition would not be likely to have the effect of substantially lessening competition in any market in Australia.